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Senkou Span B Line or the Leading Span B

The Senkou Span B or the Leading Span B is calculated by adding the highest high and the lowest low of the last 52 periods. It is also plotted 26 periods ahead on the price chart.

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Chikou Span Line or the Lagging Span

The Chikou Span Line or the Lagging Span is the closing price plotted 26 periods backward on the price chart.



Basic level understanding of these formulas allows you to grasp how the trading signals are generated in the Ichimoku Cloud indicator. This indicator can help you take much more informed trading decisions.

Now, let's have a look at the trading strategy which we will be using with the Ichimoku Cloud.